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# TASTEE SNAX COOKIE COMPANY (A)

Kevin Lindeman, vice president of Marketing for the Tastee Snax Cookie Company, a regional producer of baked-goods snacks in the southeastern United States, was faced with developing and introducing a new no-fat cookie to the market as soon as possible. For the past year, Tastee Snax's total market share had dramatically declined because of the recent negative press about fat consumption and the introduction and heavy advertising of no-fat baked goods by the larger national manufacturers.

Development and introduction of a new product to the market had traditionally required up to 24 months. Kevin Lindeman knew that if Tastee Snax were to take that long to introduce the new no-fat cookie, it would be irretrievably behind in securing a share of this rapidly expanding market. Bill Hamilton, a recent graduate of a well-known southeastern business school, had told Lindeman about the exceptional results that had been attained by using Critical Path Methodology (CPM), a project-planning scheduling technique, to plan new product introductions. Hamilton pointed out that one of the main benefits of CPM was the coordination that could be achieved between different departments within the organization. This coordination was particularly important during the project-planning stage, when various departments had to agree on the tasks to be performed by each department and on the estimated durations and deadlines. He suggested that each department designate a project coordinator who would be responsible for ensuring that the assigned tasks were accomplished.

Lindeman quickly saw the advantages of CPM, but realized that the role of project manager overseeing the total coordination efforts had to be played by a strong personality. He thought that Katy Motte, an experienced member of Tastee Snax's new-products group, might be a good choice. Motte had worked for six years in the group and had demonstrated strong leadership abilities on several occasions. Lindeman assigned Motte the task of laying out a CPM plan for the introduction of the no-fat cookie.

Motte enthusiastically accepted the new assignment. Although she was unfamiliar with CPM, she quickly learned the basics in a three-day seminar offered by the American Management Association. She also spent numerous hours reading articles and books on project management. Then, through a series of project-coordination meetings with key department managers, Motte collected the necessary planning data about the national introduction of the cookie. She wrote out the project description given below (the number in the parentheses following the description of each activity indicates the estimated time required for its completion, in weeks).

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This case was prepared by Christopher Moein under the direction of Professor Edward W. Davis. It was written as a basis for class discussion rather than to illustrate effective or ineffective handling of an administrative situation.

NATIONAL INTRODUCTION: PROJECT DESCRIPTION

Generally, the product introduction program can be broken down into three major components or groups of activities:

- Research and development/manufacturing (R&D) activities
- Marketing activities
- Advertising and promotion activities

**Research and Development/Manufacturing**

The R&D department will begin investigating possible recipes for no-fat cookies (2) while the Marketing department is initiating focus-group interviews to establish general market desires. After Marketing has completed the interviews, R&D will complete the product development by preparing four alternative products to be judged in a taste test (5).

While R&D is awaiting the evaluation of the taste-test results (performed by Marketing), it will conduct a study to determine what special equipment is required to produce no-fat cookies (5).

Following the choosing of the product and the completion of the special-equipment study, R&D will prepare the manufacturing specifications (6).

After manufacturing specifications are prepared, and prior to the test-market introduction, the Manufacturing department must begin production of the new product using existing facilities (4).

Immediately after the test-market results have been evaluated, Manufacturing must order the special equipment (1), which will take six weeks to receive and install (6).

To allow for a buildup of inventory to meet the expected demand, production of the cookie should run for six weeks prior to the start of the national roll-out (6).

**Marketing**

The Marketing department will begin its activities by performing a focus-group study to determine general consumer desires and expectations concerning no-fat cookies (3). This study will be done simultaneously with the R&D investigation of cookie recipes, as noted above. After the focus-group study has been completed, R&D will be informed about what type of cookie to develop, while Marketing tests and chooses a potential product name and package (10). Legal approval of the package and name must precede the market test (10).

The same personnel who performed the focus group must locate people for a taste test (3). After they have been located and R&D has completed the test products, the taste-test group can be brought in to perform the taste test (4). Following the taste test, the test results will be evaluated and the product will be chosen (4).

During the time when the focus group is being performed, the new-products manager must perform a pricing-and-sales volume analysis (7). Once this analysis is accomplished and the promotional material and advertising are ready, the new-products manager must plan the test- market strategy (4). The introduction of the cookie into the test market will follow the new-products manager's planning only after the legal approval of the name and the test-market production are completed. After the test market has run eight weeks (8), an awareness study (4) and a financial evaluation of the test-market performance (5) must be performed concurrently. Once these two activities have been finished, the national marketing plan must be designed (8). The national product roll-out will follow the marketing plan.

## Advertising and Promotion

After the focus-group study has been completed, the Advertising and Promotion department will develop promotional objectives and strategies (5). Following the strategy development, Advertising and Promotion will create promotional tactics (4) and will hold a meeting with the advertising agency to discuss advertising objectives (1). These last two activities can take place at the same time. The design of the TV story boards and commercials (5) will follow the meeting with the advertising agency but cannot begin until the packaging and product name have been chosen. The printing of the promotional materials (6) will also follow the choosing of the product packaging and name, as well as the creation of promotional tactics.

## Project Schedule Calculations

Before attempting to develop an overall project plan, Motte first created a simple table listing the activities by functional responsibility. She then numbered the tasks and recorded the required time for each. Next she identified the immediate predecessors for each task. The results of her work are presented in **Exhibit 1**. (The codes used [A1, A2, B1, B2, etc.] refer to the activities described in each section above, in the sequence in which they are listed.)

To create the overall project network, she decided to first develop three small networks for the three functional areas. After constructing the three small networks Motte identified the points at which they linked up, and consolidated them into one large network for the entire project. By performing the forward and backward pass calculations on the consolidated network, she identified the earliest start and finish times as well as the latest start and finish times. From these efforts she calculated and recorded the slack times also shown in **Exhibit 1**.

Exhibit 1

**TASTEE SNAX COOKIE COMPANY (A)**

Project Schedule Worksheet

| ACTIVITY | Required Time | Immediate Predecessors | Slack Time (weeks) |
|---|---|---|---|
| A. Research and Development/Manufacturing | | | |
| 1. Begin product development | 2 weeks | None | 1 |
| 2. Complete product development | 5 weeks | A1, B1 | 0 |
| 3. Develop special-equipment list | 5 weeks | A2 | 3 |
| 4. Prepare manufacturing specifications | 6 weeks | A3, B6 | 0 |
| 5. Produce for test market | 4 weeks | A4 | 0 |
| 6. Order special equipment | 1 week | A4, B11 | 0 |
| 7. Receive and install special equipment | 6 weeks | A6 | 0 |
| 8. Produce product | 6 weeks | A7 | 0 |
| B. Marketing | | | |
| 1. Perform focus group | 3 weeks | None | 0 |
| 2. Develop and test packaging and product names | 10 weeks | B1 | 3 |
| 3. Legal approval | 10 weeks | B2 | 3 |
| 4. Locate people for taste test | 3 weeks | B1 | 2 |
| 5. Perform taste test | 4 weeks | A2, B4 | 0 |
| 6. Review results and choose products | 4 weeks | B5 | 0 |
| 7. Perform pricing/volume analysis | 7 weeks | None | 15 |
| 8. Plan test-market strategy | 4 weeks | B7, C4, C5 | 3 |
| 9. Run test market | 8 weeks | A5, B3, B8 | 0 |
| 10. Perform awareness study | 4 weeks | B9 | 6 |
| 11. Evaluate test-market results financially | 5 weeks | B9 | 0 |
| 12. Develop national marketing plan | 8 weeks | B10, B11 | 5 |
| C. Advertising and Promotion | | | |
| 1. Develop objectives and strategy | 5 weeks | B1 | 4 |
| 2. Develop promotional tactics | 4 weeks | C1 | 4 |
| 3. Meet with advertising agency | 1 week | C1 | 8 |
| 4. Develop TV story boards | 5 weeks | B2, C3 | 4 |
| 5. Print promotion materials | 6 weeks | B2, C2 | 3 |